

Multiple Choice

1. **Answer:** B

Options: A) It is often used to meet emergencies.; B) Its quantity is controlled by the government rather than by market forces.; C) It is backed by a physical commodity like gold or silver.; D) It encourages the accumulation of debt through interest-free loans.; E) It is used for buying military supplies during a war.

Note: Correct option: B - Its quantity is controlled by the government rather than by market forces.

2. **Answer:** A

Options: A) of the principle of comparative advantage.; B) of the existence of fixed resources.; C) of the scarcity of resources.; D) of the law of decreasing costs.; E) of inefficiencies in the economy.

Note: Correct option: A - of the principle of comparative advantage.

3. **Answer:** C

Options: A) the equilibrium is unstable and each party would like to switch strategies; B) the marginal utility curve intersects the marginal cost curve; C) neither party has an incentive to deviate from his or her strategy; D) the equilibrium is stable and each party would like to switch strategies; E) the equilibrium is where the total revenue equals total cost

Note: Correct option: C - neither party has an incentive to deviate from his or her strategy

4. **Answer:** C

Options: A) The quality of housing construction would deteriorate; B) More houses could be bought; C) The housing industry would slump; D) Mutual savings banks would become obsolete; E) Deposits in mutual savings banks would increase

Note: Correct option: C - The housing industry would slump

5. **Answer:** D

Options: A) shift the Phillips curve to the left.; B) shift the investment demand curve to the right.; C) shift the money demand curve to the right.; D) shift the Phillips curve to the right.

Note: Correct option: D - shift the Phillips curve to the right.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'perfectly elastic.'
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'The average value of the change in y over the in-sample period'.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'They can be added across a portfolio of assets to give portfolio returns'.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'price is set above marginal cost, creating allocative inefficiency'.

Long Form Response

11. **Answer:** 175**billion**and350 billion. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** 15,000**and**75,000. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key